

PRIVILEGED AND CONFIDENTIAL
ATTORNEY-CLIENT COMMUNICATION

MEMORANDUM

TO: Sarah Johnson, Chief Human Resources Officer
FROM: Michael Chen, Senior Counsel, Employment Law
DATE: March 22, 2024
RE: Analysis of Non-Compete Agreement Enforceability Following Recent Regulatory Changes

I. EXECUTIVE SUMMARY

This memorandum analyzes the enforceability of the Company's existing non-compete agreements in light of the Federal Trade Commission's recent rulemaking.

II. BACKGROUND

The Company currently has non-compete agreements with approximately 847 employees across all levels, including senior executives, technical staff, and sales representatives.

III. FEDERAL TRADE COMMISSION NON-COMPETE RULE

A. Overview of the Rule

On April 23, 2024, the FTC published a final rule that broadly prohibits employers from entering into, enforcing, or attempting to enforce non-compete agreements with most workers.

1. Retroactively voids existing non-compete agreements for all workers except "senior executives" (defined as workers earning more than \$100,000/year);
2. Prohibits entering into new non-compete agreements with any workers after the effective date (September 4, 2024);
3. Requires employers to provide clear and conspicuous notice to workers with existing non-competes (other than senior executives) that the rule will void their agreement.

B. Legal Challenges

The Non-Compete Rule faces significant legal challenges. In *Ryan LLC v. Federal Trade Commission*, No. 3:24-cv-00986 (N.D. Tex. 2024), Ryan LLC has filed a motion to vacate the rule.

We expect this litigation to take 18-24 months to resolve definitively. Companies should prepare for both scenarios: (1) the rule is upheld and (2) the rule is vacated.

IV. STATE LAW DEVELOPMENTS

A. California

California Business and Professions Code § 16600 has long prohibited non-compete agreements (with narrow exceptions). Recent amendments have strengthened the prohibition.

- Rendering void any non-compete clause regardless of where the agreement was signed;
- Requiring California employers to notify employees in writing by February 14, 2024 that existing non-competes are void;
- Creating a private right of action for employees and job applicants who are harmed by non-compete enforcement efforts.

The Company's 23 California employees have existing non-compete agreements that are void under this law. Notices should have been sent to these employees by February 14, 2024.

B. Minnesota

Effective January 1, 2023, Minnesota Statutes § 181.988 prohibits post-employment non-compete agreements. Agreements entered into before this date are enforceable.

C. Other Jurisdictions

States with significant recent legislative activity restricting non-competes include:

- Illinois: Banned non-competes for employees earning less than \$75,000/year
- Washington: Banned non-competes for employees earning less than \$100,000/year; requires compensation equal to base salary during non-compete period
- Colorado: Banned for employees earning less than \$123,750/year

V. ANALYSIS OF CURRENT AGREEMENTS

A. Enforceability Assessment

We categorized the Company's 847 non-compete agreements as follows:

Category 1 - Clearly Unenforceable (Recommend Immediate Voidance)

- California employees: 23 agreements (void under state law)
- Minnesota post-2023 hires: 8 agreements (void under state law)
- All employees if FTC Rule upheld (except senior executives): approximately 780 agreements

Category 2 - Senior Executive Agreements (Likely Preserved)

- Approximately 67 agreements with employees meeting the senior executive definition under the FTC Rule
- These remain subject to state law analysis

Category 3 - Requires Individual Review

- Agreements in states where enforceability depends on specific terms, scope, and duration

B. Risk Factors for Unenforceable Provisions

Courts typically evaluate non-compete enforceability based on:

1. Duration: Courts rarely enforce agreements exceeding 2 years; 6-12 months is generally more defensible
2. Geographic Scope: Must bear reasonable relationship to territory where employee actually worked
3. Legitimate Business Interest: Must protect trade secrets, confidential information, or customer relationships
4. Consideration: Agreement must be supported by adequate consideration

VI. ALTERNATIVE RESTRICTIVE COVENANTS

Given the regulatory environment, we recommend transitioning from non-competes to the following alternative protections:

A. Confidentiality and Trade Secret Agreements

Non-disclosure agreements protecting genuine trade secrets and confidential information are broadly enforceable and not affected by the

B. Non-Solicitation of Customers

Agreements prohibiting solicitation of specific customers with whom the employee had contact remain enforceable in most states. Duration

C. Non-Solicitation of Employees

Agreements prohibiting recruitment of former colleagues remain generally enforceable, though some states (e.g., California, Minnesota) h

D. Garden Leave Provisions

For senior executives, "garden leave" provisions (requiring employees to provide notice and sit out during a paid notice period) offer mean

VII. RECOMMENDATIONS

1. Immediate Actions (Within 30 Days):

- Send void notices to all California employees regarding existing non-competes
- Audit all non-compete agreements and categorize by jurisdiction and risk
- Cease entering into new non-compete agreements pending legal developments

2. Near-Term Actions (60-90 Days):

- Develop updated template agreements focused on NDAs and non-solicitation
- Implement trade secret protection program
- Brief executive team on legal landscape

3. Ongoing Monitoring:

- Track FTC Rule litigation developments
- Monitor state legislative changes
- Conduct annual review of all restrictive covenant agreements

VIII. CONCLUSION

The regulatory environment governing non-compete agreements has shifted dramatically. The Company faces both immediate complianc

Please do not hesitate to contact me to discuss these issues further.

Michael Chen
Senior Counsel, Employment Law
Direct: (312) 555-0192
michael.chen@company.com

CONFIDENTIAL: This memorandum contains attorney-client privileged information. Do not distribute.